It is important to note that although the SSA was confined to Special Region 3 in the northern Shan State, its footprint and sphere of influence covered much of the Shan area, at least until 1996 when the Shan State Army – South (SSA-South) split from the group. Although the main ethnic armed groups in the southern Shan State had come to terms with the central government, the region was far from being pacified because rivalry among the SSA, PNO, and SSNPLO never truly subsided due in part to history and ideology, but more importantly due to overlapping economic interests. The three armed groups were practically narcotics armies in those days. They fought over trade routes and shares of the narcotics business. According to Lambrecht (2004 p. 172), BAD did nothing to develop the frontier areas other than helping the regime to tighten its grip on the periphery, and amass billions of dollars from natural resource extraction in the process.

POLITICAL ACTORS IN THE SOUTHERN SHAN STATE

There are three things to bear in mind when examining the political actors in the southern Shan State. First, the transition from narcotics armies to political actors is an evolutionary process. It has taken time, and some have been more adaptable to the changing environment than others. It also allows for the emergence of new political actors. Therefore, some of the actors discussed in this section underwent changes in stages, and may go on evolving. There are also new actors that did not exist before 1989, but which today have significant implications for the political order in the area. Second, because the ethnic composition in the region is not homogeneous, political actors often find themselves having to face at least two fronts. Pa-O have to deal with the state and Shan, and vice versa for Shan, while the state can play Shan and Pa-O off against each other. Third, internal divisions within Pa-O and Shan groups play into the hands of government divide-and-rule tactics.

Accordingly, this section will first identify the political actors in the Pa-O community, followed by the political actors in the Shan community, and finally, international actors who are increasingly having a significant impact on the local community.